Question #1 of 120

Question ID: 1212045

Questions 1 through 18 relate to Ethical and Professional Standards. (27 minutes)

Courtney Johnson, CFA, manages equity accounts and recommends Reliable Management to clients who ask about fixed-income investments. Reliable, in turn, provides Johnson with equity research. Johnson has not informed her equity clients, who are always very happy with Reliable's performance, of the arrangement with Reliable. Johnson has violated:

A) none of the Standards.

B) the Standard concerning client referrals.

C) the Standard concerning soft dollar arrangements.

Question #2 of 120

Question ID: 1212037

Russell Finley, CFA, is a managing director at Wilson Brothers and is responsible for the supervision of all trading and sales operations. Finley receives information indicating that a sales assistant made personal trades on a restricted security. According to the Standard regarding responsibilities of supervisors, the *least appropriate* action for Finley to take is to:

A) begin an investigation to determine the extent of the wrongdoing.

B) restrict and increase the monitoring of the employee's activities at the firm.

C) speak directly to the employee and attain assurance that the violation will not be repeated.

Question #3 of 120

Question ID: 1212032

Charlotte Stein, a CFA candidate, received a copy of a stock selection model designed by a Wall Street analyst friend, who told her she was free to use it. After reviewing the program and making some adjustments, Stein shows the new model to her supervisor. Her supervisor says she did a great job and tells Stein to incorporate the new model in her next industry review. Stein has:

A) violated the Standard concerning misrepresentation.

B) violated the Standard concerning conflicts of interest.

C) not violated CFA Institute Standards of Professional Conduct.

Question #4 of 120

Question ID: 1212042

Justin Matthews, CFA, is chief financial officer of a bank and serves on the bank's investment committee. The majority of the committee has voted to invest in medium-term euro debt. Matthews feels very strongly that this is a poor strategy and that trends in both the exchange rate and in euro interest rates over the next year will result in large losses on the position. According to the Code and Standards, Matthews should *most appropriately*:

A) document his difference of opinion with the committee.

B) express his concerns to the bank's chief executive officer directly.

C) dissociate from the recommendation by asking that his name not be included.

Question #5 of 120

Question ID: 1212038

Howard Klein, CFA, supervises a group of research analysts, none of whom is a CFA charterholder or CFA candidate. He has attempted on several occasions to get his firm to adopt a compliance system to ensure that applicable laws and regulations are followed. The firm's principals, however, have never adopted his recommendations. According to CFA Institute Standards of Professional Conduct, Klein at this point:

A) should decline in writing to accept supervisory responsibility until his firm adopts reasonable compliance procedures.

B) needs to take no action because the employees are not CFA charterholders or CFA candidates.

C) must resign from the company and document in writing his reasons for doing so.

Question #6 of 120

Question ID: 1212034

Lisa Crocker, CFA, manages several pension accounts and directs most of her trades to Zeta Brokers, which provides excellent trade execution as well as equities research. Regional Brokers, which also has excellent trading services, has offered to execute trades for Crocker at half the commission rate she pays Zeta, but Regional does not supply equities research. If Crocker declines to switch her business from Zeta to Regional, has she violated any CFA Institute Standards of Professional Conduct?

A) Yes, because she has not obtained explicit permission from her clients to use Zeta.

B) No, if the higher commissions are justified by the value of the research services she receives.

C) Yes, because the Standard concerning loyalty, prudence, and care states that she must minimize trading costs for her accounts.

Question #7 of 120

Question ID: 1212039

Katrina Anderson, CFA, left her job as an account manager at RTJ Capital Management and joined Parnell Associates. Anderson did not sign a noncompete agreement at RTJ and took no RTJ property with her when she left. According to CFA Institute Standards of Professional Conduct, Anderson:

A) must not harm RTJ by soliciting her previous clients.

B) is free to contact her previous clients at RTJ after her employment there ends.

C) must seek permission from RTJ before contacting her previous clients there.

Question #8 of 120

Question ID: 1212033

Scott Houser, CFA, is a widely known equity analyst whose recommendations often influence share prices. Houser changes his recommendation to "Sell" on Drywall Company and distributes this recommendation only to his clients, many of whom act on the recommendation before it becomes known to the public. Has Houser violated the Code and Standards?

A) No.

B) Yes, he has violated the Standard concerning communications with clients.

C) Yes, he has violated the Standard concerning material nonpublic information.

Question #9 of 120

Question ID: 1212046

Isabelle Burns, CFA, is an investment advisor and holds shares of Torex in her personal account because she thinks it is undervalued. According to the CFA Institute Standards of Professional Conduct, Burns may:

A) recommend Torex to clients but must disclose her investment in Torex.

B) not recommend Torex to clients while she has a personal investment in the stock.

C) recommend Torex to clients for whom it is suitable without disclosing her investment in Torex.

Question #10 of 120

Question ID: 1212040

Christopher Kim, CFA, is a banker with Batts Brothers, an investment banking firm. Kim follows the energy industry and has frequent contact with industry executives. Kim is contacted by the CEO of a large oil and gas corporation who wants Batts Brothers to underwrite a secondary offering of the company's stock. The CEO offers Kim the opportunity to fly on his private jet to his ranch in Texas for an exotic game hunting expedition if Kim's firm can complete the underwriting within 90 days. According to CFA Institute Standards of Conduct, Kim:

A) may accept the offer as long as he discloses the offer to Batts Brothers.

B) may not accept the offer because it is considered lavish entertainment.

C) must obtain written consent from Batts Brothers before accepting the offer.

Question #11 of 120

Question ID: 1207519

When GIPS and local laws conflict, in order to be in compliance with GIPS, the investment firm must follow:

A) local law but disclose the conflict with GIPS.

B) local law, and no additional disclosure is required.

C) GIPS but disclose that this is in conflict with local laws.

Question #12 of 120

Question ID: 1212036

Kim Vance, CFA, tells a prospective client, "Over the three years I have been in the business, my equity-oriented accounts have had a mean return of more than 20% a year." The statement is accurate, but the mean return was influenced by the account of one client realizing a large gain on a position in a small-cap company he took based on his own research. Without this account, the average gain would have been 18% per year. Has Vance violated CFA Institute Standards of Professional Conduct?

A) Yes, because the statement misrepresents Vance’s performance.

B) Yes, because returns for an equities composite must be asset- weighted.

C) No, because it is accurate and Vance has not guaranteed such returns in the future.

Question #13 of 120

Question ID: 1212043

Joseph Drake, CFA, an investment advisor at Best Wealth Managers, has identified a growth stock that he believes has the potential to provide excellent returns over the next five years. He includes this stock on a "recommended list" that he sends to all of his clients. Drake includes recent earnings, his estimates of future earnings, and a note that more information is available on request. Drake has:

A) not violated the Standards.

B) violated the Standard on suitability.

C) violated the Standard on client communications.

Question #14 of 120

Question ID: 1212047

Brian Farley, CFA, is an investment manager with one client, a $75 million university endowment fund. A representative of the endowment fund calls Farley and places a "sell" order on a portfolio holding whose management has just reduced its earnings guidance for the coming year. Farley also owns the security and, because the new guidance is public information, places simultaneous "sell" orders for both the client account and his personal account. According to the Standards on fair dealing and priority of transactions, Farley is in violation of:

A) both of these Standards.

B) neither of these Standards.

C) only one of these Standards.

Question #15 of 120

Question ID: 1212041

Paul White, CFA, works as an analyst at an investment banking firm that also manages equity-only accounts for clients. White has agreed independently to manage a portfolio of fixed-income securities for an endowment fund for a small fee but has not informed his employer. Additionally, White's supervisor has asked him to work this weekend on a proposal for a large IPO that must be delivered on

Monday morning, but White declines as he would prefer to spend the weekend with his family. Which of White's actions violate the Standard concerning loyalty?

A) Both of these actions.

B) Neither of these actions.

C) Only one of these actions.

Question #16 of 120

Question ID: 1212035

Art Dodd, CFA, is a registered representative with Owens Securities. He is currently in a dispute with one client, Madge Phillips, about a limit order for her account that she feels was entered incorrectly, resulting in a loss (in her opinion) of $500. Dodd has 1,000 shares of an oversubscribed new issue to allocate to clients. He suggests to Phillips that he will give her 250 shares of this allocation to make up for the supposed trade error. Further, he offers to buy her dinner at a nice restaurant. According to the Standards of Practice, Dodd has *most likely* violated the Standard concerning:

A) misconduct.

B) fair dealing.

C) additional compensation.

Question #17 of 120

Question ID: 1207520

Which of the following is *least likely* one of the nine major topics of the CFA Institute Global Investment Performance Standards (GIPS)?

A) Real Estate.

B) Private Equity.

C) Venture Capital.

Question #18 of 120

Question ID: 1212044

Graham Carson, CFA, is an investment advisor to Ron Grayson, a client with moderate risk tolerance and an investment horizon of 15 years. Grayson calls Carson to complain about two stocks in his account that have performed poorly. He feels that one stock was too risky for him as it paid no dividend and had a beta of 1.4. The other stock had a beta of 0.9 and paid a dividend of 3%, but financial regulators have indicated that the firm's reported earnings were incorrectly stated. Based on this information, Carson has *most likely*:

A) not violated the Standards.

B) violated only the Standard on suitability.

C) violated both the Standard on suitability and the Standard on diligence and reasonable basis.

Question #19 of 120

Question ID: 1207522

Questions 19 through 30 relate to Quantitative Methods. (18 minutes)

Five years ago, an investor borrowed $5,000 from a financial institution that charged a 6% annual interest rate, and he immediately took his family to live in Nepal. He made no payments during the time he was away. When he returned, he agreed to repay the original loan plus the accrued interest by making five end-of-year payments starting one year after he returned. If the interest rate on the loan is held constant at 6% per year, what annual payment must the investor make in order to retire the loan?

A) $1,338.23.

B) $1,588.45.

C) $1,638.23.

Question #20 of 120

Question ID: 1207521

If an investment of $4,000 will grow to $6,520 in four years with monthly compounding, the effective annual interest rate will be *closest* to:

A) 11.2%.

B) 12.3%.

C) 13.0%.

Question #21 of 120

Question ID: 1207523

An analyst constructs a histogram and frequency polygon of monthly returns for aggressive equity funds over a 20-year period. Which of the following statements about these displays is *most accurate*?

A) The height of each bar in a frequency polygon represents the absolute frequency for each return interval.

B) Both a histogram and a frequency polygon provide a graphical display of data found in a frequency distribution.

C) To construct a histogram, the analyst would plot the midpoint of the return intervals on the x-axis and the absolute frequency for that interval on the y-axis, connecting neighboring points with a straight line.

Question #22 of 120

Question ID: 1212049

An analyst has data on institutional salespeople at an investment banking firm showing how they ranked in total monthly commissions, from first to eighth. To determine whether a high rank in one month indicates a high probability of a achieving a high rank in subsequent months, the analyst should use a:

A) *t*-test.

B) nonparametric test.

C) mean differences test.

Question #23 of 120

Question ID: 1207524

A security has annual returns of 5%, 10%, and 15%. The coefficient of variation of the security (using the population standard deviation) is *closest* to:

A) 0.3.

B) 0.4.

C) 0.5.

Question #24 of 120

Question ID: 1207525

If an analyst concludes that the distribution of a large sample of returns is positively skewed, which of the following relationships involving the mean, median, and mode is *most likely*?

A) Mean > median > mode.

B) Mean < median < mode.

C) Mean > median < mode.

Question #25 of 120

Question ID: 1207526

An analyst has been hired to evaluate a high-risk project. The analyst estimates the probability that the project will fail in the first year as well as the conditional probability of failure for each of the remaining four years of the project, as follows:

Year	1	2	3	4	5
Failure probability	0.25	0.20	0.20	0.15	0.10

The project will have no payoff if it fails, but it will have a payoff of $20,000 at the end of the fifth year if it succeeds. Because of its high risk, the required rate of return for an investment in this project is 25%. Based on this information, the expected present value of the project is *closest* to:

A) $2,400.

B) $3,010.

C) $5,900.

Question #26 of 120

Question ID: 1212048

The probability that fund manager will produce returns in excess of the returns on the S&P 500 index in any one year is 45%. The probability that the manager will produce returns in excess of the returns on the S&P 500 index in 4 or 5 of the next five years is *closest to*:

A) 11.3%.

B) 14.4%.

C) 16.3%.

Question #27 of 120

Question ID: 1207528

Which of the following distributions is *most likely* a discrete distribution?

A) A normal distribution.

B) A univariate distribution.

C) A binomial distribution.

Question #28 of 120

Question ID: 1207529

An investment has a mean return of 15% and a standard deviation of returns equal to 10%. If the distribution of returns is approximately normal, which of the following statements is *least accurate*? The probability of obtaining a return:

A) less than 5% is about 16%.

B) greater than 35% is about 2.5%.

C) between 5% and 25% is about 95%.

Question #29 of 120

Question ID: 1207530

Which of the following statements about the central limit theorem is *least accurate*?

A) The central limit theorem has limited usefulness for skewed distributions.

B) The mean of the population and the mean of all possible sample means are equal.

C) When the sample size is large, the sampling distribution of the sample means is approximately normal.

Question #30 of 120

Question ID: 1207531

Which of the following statements about hypothesis testing involving a *z*-statistic is *least accurate*?

A) The *p*-value is the smallest significance level at which the null hypothesis can be rejected.

B) A *z*-test is theoretically acceptable in place of a *t*-test for tests concerning a mean when sample size is small.

C) If the confidence level is set at 95%, the chance of rejecting the null hypothesis when in fact it is true is 5%.

Question #31 of 120

Question ID: 1207541

Questions 31 through 42 relate to Economics. (18 minutes)

According to the crowding-out effect, the sale of government bonds used to finance excess government spending is *least likely* to:

A) increase the real interest rate.
B) reduce private investment spending.
C) increase the profitability of corporate investment projects.

Question #32 of 120

Question ID: 1207542

Which of the following statements on the economic implications of trade restrictions is *most accurate*?

A) Quota rents are the amounts received by the domestic government when it charges for import licenses.
B) In the importing country, import quotas, tariffs, and voluntary export restraints all decrease producer surplus.
C) In the case of a quota, if the domestic government collects the full value of the import licenses, the result is the same as that of a tariff.

Question #33 of 120

Question ID: 1207539

Assume that the long-term equilibrium money market interest rate is 4% and the current money market interest rate is 3%. At this current rate of 3%, there will be an excess:

A) demand for money in the money market, and investors will tend to be net buyers of securities.
B) demand for money in the money market, and investors will tend to be net sellers of securities.
C) supply of money in the money market, and investors will tend to be net buyers of securities.

Question #34 of 120

Question ID: 1207537

Based on her forecast for the economy, a portfolio manager increases her investments in high-quality bonds and decreases her investments in commodities. The portfolio manager *most likely* expects the economy to experience:

A) stagflation.
B) a recessionary gap.
C) an inflationary gap.

Question #35 of 120

Question ID: 1207538

An analyst who is interested in the core inflation rate should *most appropriately* examine a price index:

A) for wholesale goods.

B) that uses hedonic pricing.

C) that excludes food and energy.

Question #36 of 120

Question ID: 1207533

Demand for gasoline (in hundreds of liters) at a particular station, as a function of the price of gasoline and the price of bus travel, is $Q_D = 300 – 14\ P_{gas} + 2\ P_{bus}$. If the price of gasoline per liter (P_{gas}) is 1.50 euros, and the price of a standardized unit of bus travel (P_{bus}) is 12 euros, the cross price elasticity of gasoline demand with respect to the price of bus travel is *closest* to:

A) 0.01.

B) 0.08.

C) 2.00.

Question #37 of 120

Question ID: 1212050

Which of the following statements about a monopolist is *least accurate*?

A) The monopolist faces a downward sloping demand curve.

B) Unlike an oligopolist, a monopolist will always be able to earn economic profit.

C) A profit-maximizing monopolist will expand output until marginal revenue equals marginal cost.

Question #38 of 120

Question ID: 1207535

A market has the following characteristics: a large number of independent sellers, each producing a differentiated product; low barriers to entry; producers facing downward sloping demand curves; and demand that is highly elastic. This description *most* closely describes:

A) an oligopoly.

B) pure competition.

C) monopolistic competition.

Question #39 of 120

Question ID: 1207543

One year ago, the currency of Xyland (XYZ) was at a three-month forward premium to the currency of Piqua (PQR). Today, the XYZ is at a three-month forward discount to the PQR. Assuming the interest rate forward parity relationship holds, this change implies that:

A) the XYZ has depreciated relative to the PQR.

B) today the XYZ three-month interest rate is higher than the PQR three-month interest rate.

C) one year ago the XYZ three-month interest rate was higher than the PQR three-month interest rate.

Question #40 of 120

Question ID: 1207536

If domestic savings are insufficient to finance domestic private investment and exports are greater than imports, it is *most likely* that the fiscal budget has:

A) a deficit that is less than the trade surplus.

B) a deficit that is greater than the trade surplus.

C) a surplus that is greater than the trade surplus.

Question #41 of 120

Question ID: 1207544

Depreciation of a country's currency will be more effective in reducing its trade deficit if its:

A) imports do not have good substitutes.

B) exports are primarily luxury goods.

C) exports represent a small portion of foreign consumer expenditures.

Question #42 of 120

Question ID: 1207540

Open market sales of securities by a country's central bank will *most likely* result in:

A) decreasing short-term interest rates.

B) appreciation of the domestic currency.

C) an increasing growth rate of real GDP.

Question #43 of 120

Question ID: 1207552

Questions 43 through 60 relate to Financial Reporting and Analysis. (27 minutes)

Normal Corp. has a current ratio above 1 and a quick ratio less than 1. Which of the following actions will increase the current ratio and decrease the quick ratio? Normal Corp.:

A) buys fixed assets on credit.

B) uses cash to purchase inventory.

C) pays off accounts payable from cash.

Question #44 of 120

Question ID: 1212051

A company has 1,000,000 warrants outstanding at the beginning of the year, each convertible into one share of stock with an exercise price of $50. No new warrants were issued during the year. The average stock price during the period was $60, and the year-end stock price was $45. What adjustment for these warrants should be made, under the treasury stock method, to the number of shares used to calculate diluted earnings per share (EPS)?

A) 0.

B) 166,667.

C) 200,000.

Question #45 of 120

Question ID: 1207545

A firm has undertaken a contract with an estimated total cost of $200 million at a price of $220 million. At the end of the first reporting period, the firm has devoted resources of $70 million to the project. The customer has been billed for $80 million and made payments of $60 million. As a result of these transactions, the firm should report revenue from this project of:

A) $60 million.

B) $70 million.

C) $77 million.

Question #46 of 120

Question ID: 1207551

An analyst gathered the following data about a company:

Net sales	$4,000
Dividends declared	170
Cost of goods sold	2,000
Inventory increased by	100
Accounts payable increased by	300
Cash expenses for other inputs	500
Long-term debt principal replayment	250
Cash tax payments	200
Purchase of new equipment	300

The company's cash flow from operations, based on these data only, is:

A) $1,200.

B) $1,500.

C) $1,575.

Question #47 of 120

Question ID: 1212054

A low inventory turnover ratio in a period of declining revenue growth is *most likely* an indication that a firm may have:

A) obsolete inventory.

B) too little inventory.

C) efficient inventory management.

Question #48 of 120

Question ID: 1207554

The following data pertains to a company's common-size financial statements.

- Current assets 40%
- Total debt 40%
- Net income 16%
- Total assets $2,000
- Sales $1,500
- Total asset turnover ratio 0.75
- The firm has no preferred stock in its capital structure.

The company's after-tax return on common equity is *closest* to:

A) 15%.

B) 20%.

C) 25%.

Question #49 of 120

Question ID: 1207546

Which of the following statements about the calculation of earnings per share (EPS) is *least accurate*?

A) Shares issued after a stock split must be adjusted for the split.

B) Options outstanding may have no effect on diluted EPS.

C) Reacquired shares are excluded from the computation from the date of reacquisition.

Question #50 of 120

Question ID: 1207553

A company has a cash conversion cycle of 70 days. If the company's payables turnover decreases from 11 to 10 and days of sales outstanding increase by 5, the company's cash conversion cycle will:

A) decrease by approximately 8 days.
B) decrease by approximately 3 days.
C) increase by approximately 2 days.

Question #51 of 120

Question ID: 1207558

Selected items from the financial statements of three plumbing fixture manufacturers appear in the following table. All three firms use straight-line depreciation for financial reporting.

	Robbco	**Sammco**	**Teddco**
PP&E at historical cost	$10,000,000	$12,000,000	$18,000,000
Accumulated depreciation	6,000,000	8,000,000	9,000,000
Net PP&E	4,000,000	4,000,000	9,000,000
Depreciation expense (latest period)	800,000	1,000,000	1,500,000

Based only on these data, which firm is *most likely* to require significant capital expenditures sooner than the others?

A) Robbco.
B) Sammco.
C) Teddco.

Question #52 of 120

Question ID: 1207560

In accounting for a defined benefit pension plan, the amount reported as "prior service cost" refers to:

A) the total value of benefits already paid to retirees who are still receiving pension payments.
B) the present value of the pension benefits due to employees based on their employment up to the date of the statement.
C) the present value of the increase in future pension benefits from a change in the terms of the pension plan.

Question #53 of 120

Question ID: 1207559

On January 2, a company acquires some state-of-the-art production equipment at a net cost of $14 million. For financial reporting purposes, the firm will depreciate the equipment over a 7-year life using straight-line depreciation and a zero salvage value; for tax reporting purposes, however, the firm will use straight-line depreciation over a 3-year life. Given a tax rate of 35%, by how much will the company's deferred tax liability increase in the first year of the equipment's life?

A) $931,700.

B) $1,064,800.

C) $1,730,300.

Question #54 of 120

Question ID: 1207561

When comparing two firms, an analyst should *most* appropriately adjust the financial statements when they include significant:

A) acquisition goodwill, if one of the firms reports under IFRS and the other under U.S. GAAP.

B) property, plant, and equipment, if one of the firms uses accelerated depreciation and the other uses straight-line depreciation.

C) unrealized losses from securities held for trading, if one of the firms uses fair value reporting for securities investments and the other does not.

Question #55 of 120

Question ID: 1212052

A U.S. GAAP reporting company holds a number of marketable securities as investments. For the most recent period, the company reports that the market value of its securities held for trading decreased by $2 million and the market value of its securities available for sale increased in value by $3 million. Together, these changes in value will:

A) reduce net income and shareholders’ equity by $2 million.

B) increase shareholders’ equity by $1 million and have no effect on net income.

C) reduce net income by $2 million and increase shareholders’ equity by $1 million.

Question #56 of 120

Question ID: 1207550

Maritza, Inc., is involved in an exchange of debt for equity. In which of the following sections of the cash flow statement would Maritza record this transaction?

A) Investing activities section.

B) Financing activities section.

C) Footnotes to the cash flow statement.

Question #57 of 120

Question ID: 1212053

Rowlin Corporation, which reports under IFRS, wrote down its inventory of electronic parts last period from its original cost of €28,000 to net realizable value of €25,000. This period, inventory at net realizable value has increased to €30,000. Rowlin should revalue this inventory to:

- **A)** €28,000, and report a gain of €3,000 on the income statement.
- **B)** €30,000, and report a gain of €3,000 on the income statement.
- **C)** €30,000, and report a gain of €5,000 on the income statement.

Question #58 of 120

Question ID: 1207549

Listed debt securities owned by a company, for which the company intends to collect interest payments and sell the securities, must be carried at fair value with gains and losses reported as other comprehensive income under:

- **A)** IFRS only.
- **B)** U.S. GAAP only.
- **C)** both U.S. GAAP and IFRS.

Question #59 of 120

Question ID: 1207562

Which of the following statements regarding an audit and a standard auditor's opinion is *most accurate*?

- **A)** The objective of an audit is to enable the auditor to provide an opinion on the numerical accuracy of the financial statements.
- **B)** To provide an independent review of a company's financial statements, an external auditor is appointed by the company's management.
- **C)** The absence of an explanatory paragraph in the audit report relating to the going concern assumption suggests that there are no serious problems that require a close examination of that assumption by the analyst.

Question #60 of 120

Question ID: 1207557

Two growing firms are identical except that Alfred Company capitalizes costs for some long-lived assets that Canute Company expenses. Alfred is *most likely* to show higher:

- **A)** net income than Canute.
- **B)** working capital than Canute.
- **C)** investing cash flow than Canute.

Question #61 of 120

Question ID: 1207571

Questions 61 through 72 relate to Corporate Finance. (18 minutes)

Rodgers, Inc., has fixed operating expenses of $2 million and will break even with sales of $5 million. For sales of $7 million, an analyst would estimate the firm's operating income as:

A) $800,000.
B) $1,200,000.
C) $2,000,000.

Question #62 of 120

Question ID: 1207567

Weights to be used in calculating a company's weighted average cost of capital are *least appropriately* based on:

A) information from the company about its target capital structure.
B) the average capital structure weights for companies of a similar size.
C) the average capital structure weights for companies in the same industry.

Question #63 of 120

Question ID: 1207572

An accounts receivable aging schedule is *best* used to:

A) determine how the receivables turnover ratio has changed over time.
B) identify trends in how well the firm is doing at collecting receivables and converting them to cash.
C) compare a company's receivables management to those of the average for its industry or for a group of peer companies.

Question #64 of 120

Question ID: 1207568

The *most appropriate* method to estimate a company's cost of debt capital is to use:

A) a weighted average of the coupon rates on all the company's outstanding debt.
B) the yield to maturity on bonds of other companies with the same credit rating as the company's bonds.
C) the average rate market rate on outstanding company bonds for a company that issues only floating-rate bonds.

Question #65 of 120

Question ID: 1207564

Ron's Organic Markets has limited access to borrowed funds and must choose among ten independent projects with returns greater than their cost of capital. All the projects under consideration have the same required investment of $2 million, and Ron's has $10 million available for capital investments this year. Which of the following selection criteria is *least likely* to identify the five projects that will produce the greatest expected increase in the value of the firm? Choose the five projects with:

A) the highest IRRs.
B) the greatest total NPV.
C) the largest sum of profitability indexes.

Question #66 of 120

Question ID: 1207565

Which of the following is *least* relevant in determining project cash flow for a capital investment?

A) Sunk costs.
B) Tax impacts.
C) Opportunity costs.

Question #67 of 120

Question ID: 1207573

From a liquidity management perspective, an increase in the number of days of payables is *best* described as:

A) liquidity neutral.
B) a pull on liquidity.
C) a source of liquidity.

Question #68 of 120

Question ID: 1207563

Investing in a project that will help achieve a particular social or environmental objective is *most accurately* described as an example of:

A) impact investing.
B) positive screening.
C) responsible investing.

Question #69 of 120

Question ID: 1207570

When computing weighted average cost of capital (WACC), what is the correct treatment of flotation costs, related to raising additional equity capital?

A) Increase the discount rate to account for flotation costs.
B) Adjust the initial project costs by the amount of the flotation costs.
C) Flotation costs are not substantial enough to be considered in adjusting the cost of equity.

Question #70 of 120

Question ID: 1212055

An analyst is studying the tax exposures and capital structures of Alpha Corporation and Beta Corporation. Both companies have equivalent weights of debt and equity in their capital structures. Pretax component costs of capital are the same for both companies. Alpha has total capital of $850 million while Beta has total capital of $370 million. The marginal tax rates for Alpha and Beta are 35% and 40%, respectively. Which of the following statements regarding Alpha and Beta is *least accurate*?

A) Beta Corporation has a lower WACC than Alpha Corporation.

B) An increase in Alpha Corporation’s tax rate would decrease its WACC.

C) A tax rate change will affect Alpha Corporation’s cost of equity more than Beta Corporation.

Question #71 of 120

Question ID: 1207574

A portfolio manager buys $1 million of U.S. Treasury bills maturing in 90 days at a price of $990,390 and discount rate of 3.8%. The portfolio also includes the following investments:

- Bank commercial paper maturing in 90 days with a bond equivalent yield of 4.34% and a market value of $100,000.
- Bank certificates of deposit maturing in six months with a bond equivalent yield of 4.84% and a market value of $200,000.

The bond-equivalent yield of a comparable benchmark portfolio is 4.0%. Including the Treasury bill purchase, the manager's portfolio is:

A) outperforming the benchmark.

B) underperforming the benchmark.

C) performing in line with the benchmark.

Question #72 of 120

Question ID: 1207566

Langler, Inc., is evaluating two capital projects. Langler has a capital budget of $50 million. Project P has an internal rate of return of 24% and a net present value of $5 million. Project Q has an internal rate of return of 18% and a net present value of $12 million. Project P will cost $15 million, and Project Q will cost $48 million. Based on this information, Langler should accept:

A) Project P to earn the higher return on investment.

B) Project Q to maximize shareholder wealth.

C) both projects because they both add value to the firm.

Question #73 of 120

Question ID: 1207582

Questions 73 through 85 relate to Equity Investments. (19.5 minutes)

With respect a dividend payment, which of the following dates occurs first?

A) The record date.

B) The payment date.

C) The ex-dividend date.

Question #74 of 120

Question ID: 1207580

A company is *most likely* to earn economic profits if it is operating in an industry characterized by:

A) high industry concentration, high barriers to entry, and low industry capacity.
B) low industry concentration, low barriers to entry, and low industry capacity.
C) low industry concentration, high barriers to entry, and high industry capacity.

Question #75 of 120

Question ID: 1207581

Among the types of factors that influence industry growth and profitability, the one that is *most likely* to affect consumer discretionary goods producers more than consumer staples producers is:

A) social factors.
B) demographic factors.
C) macroeconomic factors.

Question #76 of 120

Question ID: 1207577

Which form of the efficient markets hypothesis (EMH) implies that an investor can achieve positive abnormal returns on average by using technical analysis?

A) None.
B) Weak form.
C) Weak form or semistrong form.

Question #77 of 120

Question ID: 1207583

A stock has a steady 5% growth rate in dividends. The required rate of return for stocks of this risk class is 15%. The stock is expected to pay a $1 dividend this coming year. The expected value of the stock at the end of the fourth year is:

A) $12.16.
B) $14.21.
C) $16.32.

Question #78 of 120

Question ID: 1207575

An investor has long exposure to the risk of the asset underlying an option when taking:

A) a short position in a put option.

B) a short position in a call option.

C) a long position in a put option.

Question #79 of 120

Question ID: 1212056

If all other factors remain unchanged, which of the following would *most likely* reduce a company's price/earnings ratio?

A) The dividend payout ratio increases, and the dividend growth rate increases.

B) The dividend growth rate increases, and the required rate of return decreases.

C) The required rate of return increases, and the dividend payout ratio decreases.

Question #80 of 120

Question ID: 1207576

Porter, Inc., sells 200,000 newly issued shares to two institutions without registering the shares with its country's securities regulators. This transaction is *best* described as being:

A) illegal.

B) in the primary market.

C) in the secondary market.

Question #81 of 120

Question ID: 1207579

Roger Templeton, CFA, an analyst for Bridgetown Capital Management, is studying past market data to identify risk factors that produce anomalous returns. He tests monthly data on each of 60 financial and economic variables over a 15-year period to find which ones are related to stock index returns. Templeton identifies three variables that show statistically significant relationships with equity returns at a 95% confidence level. What is the *most likely* reason why Bridgetown's management should be skeptical of the anomalies Templeton has identified? The results may suffer from:

A) data mining bias.

B) survivorship bias.

C) small sample bias.

Question #82 of 120

Question ID: 1207586

An asset-based valuation model would *most likely* provide a reliable estimate of market value for:

A) a pure-play online news site.

B) a multinational freight distribution firm.

C) a privately held metal fabrication company.

Question #83 of 120

Question ID: 1207584

Beachballs, Inc., expects abnormally high earnings for the next three years due to the forecast of unusually hot summers. After the 3-year period, their growth will level off to its normal rate of 6%. Dividends and earnings are expected to grow at 20% for years 1 and 2 and 15% in year 3. The last dividend paid was $1.00. If an investor requires a 10% return on Beachballs, the price she is willing to pay for the stock is *closest* to:

A) $26.00.

B) $36.50.

C) $50.00.

Question #84 of 120

Question ID: 1207578

If stock markets are semistrong-form efficient, a portfolio manager is *least likely* to create value for investors by:

A) monitoring clients' needs and circumstances.

B) allocating invested funds among asset classes.

C) analyzing financial statements to select undervalued stocks.

Question #85 of 120

Question ID: 1207601

Jerry Slotz enters an exchange-traded contract that obligates him to purchase a specific amount of an asset on a future date. The contract is *most likely*:

A) an option contract.

B) a futures contract.

C) a forward contract.

Question #86 of 120

Question ID: 1212058

Questions 86 through 99 relate to Fixed Income. (21 minutes)

Compared to corporate bonds, secondary market trading in government bonds is *most likely* to feature:

A) brokered markets.

B) earlier trade settlement.

C) narrower bid-ask spreads.

Question #87 of 120

Question ID: 1212068

An investor buys an option-free bond that has a Macaulay duration of 15.0 and a modified duration of 14.5. If the rate of return on reinvested coupon income is 4.0% and the bond is sold after three years, the investor's annualized holding period return is *most likely* to be:

A) equal to the bond's yield to maturity at the time of purchase.

B) less than the bond's yield to maturity at the time of purchase.

C) greater than the bond's yield to maturity at the time of purchase.

Question #88 of 120

Question ID: 1212060

A 10%, 10-year bond is sold to yield 8%. One year passes, and the yield remains unchanged at 8%. Holding all other factors constant, the bond's price during this period will have:

A) increased.

B) decreased.

C) remained constant.

Question #89 of 120

Question ID: 1212057

An analyst is considering a bond for purchase. The bond has a coupon that resets semiannually and is determined by the following formula:

coupon = 12% − (3.0 × 6-month Treasury bill rate)

This bond is *most* accurately described as:

A) a step-up note.

B) an inverse floater.

C) an inflation protected security.

Question #90 of 120

Question ID: 1212065

Asset-backed securities with a lockout period are *most likely* to be backed by:

A) automobile loans.

B) home-equity loans.

C) credit card receivables.

Question #91 of 120

Question ID: 1212062

A five-year corporate bond and its benchmark government bond had the following yields over a one-month period:

	Beginning of Month	End of Month
Corporate bond yield	6.75%	7.00%
Government bond yield	4.25%	4.75%

Over this month, the price of the corporate bond *most likely* experienced:

A) unfavorable macroeconomic and microeconomic factors.

B) favorable macroeconomic factors and unfavorable microeconomic factors.

C) unfavorable macroeconomic factors and favorable microeconomic factors.

Question #92 of 120

Question ID: 1212066

An investor most concerned with reinvestment risk would be *least likely* to:

A) prefer a noncallable bond to a callable bond.

B) prefer a lower coupon bond to a higher coupon bond.

C) eliminate reinvestment risk by holding a coupon bond until maturity.

Question #93 of 120

Question ID: 1212064

For an asset-backed security (ABS), a special purpose entity:

A) sells an asset to the issuing corporation, which then proceeds to issue the ABS.

B) is used to separate assets used as collateral from those of the company seeking financing through an ABS.

C) acts as an intermediary that purchases an asset from the company issuing an ABS and then resells it to obtain sufficient liquid funds to provide collateral for the ABS.

Question #94 of 120

Question ID: 1212061

The following interest rate information is observed:

	Spot Rates
1 year	10%
2 years	11%

3 years	12%

Based on this data, the 2-year forward rate one year from now is *closest* to:

A) 12%.

B) 13%.

C) 14%.

Question #95 of 120

Question ID: 1212067

A fixed-income portfolio manager is estimating portfolio duration based on the weighted average of the durations of each bond in the portfolio. The manager should calculate duration using:

A) parallel shifts of the benchmark yield curve.

B) equal-sized increases and decreases in a benchmark bond’s yield.

C) equal-sized increases and decreases in the portfolio’s cash flow yield.

Question #96 of 120

Question ID: 1212070

Bert Reed owns a junior secured bond of a firm that has entered bankruptcy proceedings. Mia Tano owns a senior unsecured bond of the same firm. As a result of the bankruptcy, Reed and Tano each recover 80% of the interest and principal owed on their bonds. This outcome is *least likely* the result of:

A) an order of the bankruptcy court.

B) the pari passu ranking of these creditors.

C) a negotiated settlement among the firm’s creditors.

Question #97 of 120

Question ID: 1212059

A repurchase agreement is *most accurately* described as:

A) an embedded option held by a bondholder.

B) a form of credit enhancement in a bond issue.

C) a source of short-term funding for a bondholder.

Question #98 of 120

Question ID: 1212063

Which of the following is *least likely* a benefit of securitization?

A) Reducing funding costs.

B) Removing liabilities from the balance sheet.

C) Increasing the liquidity of balance sheet assets.

Question #99 of 120

Question ID: 1212069

The return impact of a 25 basis point widening in yield for an option-free bond is greatest if it has a duration of:

A) 4 and convexity of 24.

B) 5 and convexity of 32.

C) 6 and convexity of 90.

Question #100 of 120

Question ID: 1207607

Questions 100 through 106 relate to Derivatives. (10.5 minutes)

How does the cost of holding the underlying asset affect option values?

A) Decreases both call and put values.

B) Decreases call values and increases put values.

C) Increases call values and decreases put values.

Question #101 of 120

Question ID: 1207602

Open interest in a futures market is *most accurately* described as the total number of:

A) contracts outstanding.

B) contracts that change hands in a given period.

C) buyers and sellers currently holding outstanding positions.

Question #102 of 120

Question ID: 1207606

If a plain vanilla interest rate swap is replicated with a series of forward rate agreements (FRAs), at initiation, each FRA must have a forward rate equal to the swap's:

A) fixed rate and must have a value of zero.

B) floating rate and must have a value of zero.

C) fixed rate but may have a non-zero value.

Question #103 of 120

Question ID: 1207604

Under which of the following conditions does a forward contract have a positive value to the short party at expiration?

A) The forward price is less than the value of the forward contract.

B) The spot price of the underlying asset is less than the forward price.

C) The value of the forward contract is less than the spot price of the underlying asset.

Question #104 of 120

Question ID: 1212071

At expiration, exercise value is equal to time value for:

A) an in-the-money call or an out-of-the-money put.

B) an out-of-the-money call or an in-the-money put.

C) an out-of-the-money call or an out-of-the-money put.

Question #105 of 120

Question ID: 1207603

A basis swap may be structured as:

A) a contingent claim only.

B) a forward commitment only.

C) either a contingent claim or a forward commitment.

Question #106 of 120

Question ID: 1207605

Which of the following is *least likely* to change over the life of a derivatives contract?

A) The futures price.

B) The risk-free rate.

C) The forward price.

Question #107 of 120

Question ID: 1207611

Questions 107 through 113 relate to Alternative Investments. (10.5 minutes)

Assume most hedge funds have a 2-and-20 fee structure and most funds of funds have a 1-and-10 fee structure. Over a long investment horizon, compared to net returns from investing directly in hedge funds, net returns from investing in funds of funds are *most likely* to be:

A) lower.

B) higher.

C) the same.

Question #108 of 120

Question ID: 1212074

The component of the yield on a long commodity futures position that is independent of whether the contract is in contango or backwardation is:

A) the roll yield.

B) the collateral yield.

C) the convenience yield.

Question #109 of 120

Question ID: 1212072

With respect to venture capital, the term "mezzanine-stage financing" is used to describe the financing:

A) to prepare for an initial public offering.

B) to initiate commercial manufacturing.

C) that supports product development and market research.

Question #110 of 120

Question ID: 1212075

Cathy Werner, CFA, is considering adding exposure to hedge funds to her portfolio of traditional investments. Based on historical mean and standard deviation of hedge fund index returns and their correlation with traditional investment returns, Werner estimates the diversification benefits from allocating 5% of portfolio assets to hedge funds. Assuming her calculations are correct, Werner is *most likely* to:

A) overestimate the potential diversification benefits to the portfolio.

B) underestimate the potential diversification benefits to the portfolio.

C) accurately estimate the potential diversification benefits to the portfolio.

Question #111 of 120

Question ID: 1212073

A private equity firm that wants to receive money from a portfolio company without giving up control of the portfolio company is *most likely* to engage in:

A) a trade sale.

B) a secondary sale.

C) a recapitalization.

Question #112 of 120

Question ID: 1207614

A hedge fund has a 2-and-20 fee structure, based on beginning-of-period assets, with a soft hurdle rate of 5%. Incentive fees are calculated before management fees. An endowment invests $60.0 million in the hedge fund. The value of the endowment's investment, before fees, decreases to $56.2 million after one year and increases to $58.0 million the next year. In the second year the endowment will be charged management and incentive fees *closest to*:

A) $1.10 million.
B) $1.15 million.
C) $1.70 million.

Question #113 of 120

Question ID: 1212076

Commodities differ from other alternative investments in that:

A) returns are due only to price changes.
B) specialized funds are available as an investment vehicle.
C) they have a low correlation of returns with traditional investments.

Question #114 of 120

Question ID: 1207618

Questions 114 through 120 relate to Portfolio Management. (10.5 minutes)

A security's beta is *best* estimated by the slope of:

A) the capital market line.
B) the security market line.
C) the security's characteristic line.

Question #115 of 120

Question ID: 1207621

In choosing asset classes for establishing strategic portfolio allocation across assets, the manager would *most* prefer that:

A) asset classes are only those with tradable liquid assets.
B) the asset classes span the broadest universe of investable assets.
C) correlations of asset returns within an asset class are significantly greater than correlations of asset class returns.

Question #116 of 120

Question ID: 1207622

A bank estimates the expected value of a one-month loss that exceeds ¥100 million to be ¥300 million. The ¥300 million estimate is *best* described as:

A) a value at risk.
B) a conditional VaR.
C) a scenario-based VaR.

Question #117 of 120

Question ID: 1207616

Given the following correlation matrix, a risk-averse investor would *least* prefer which of the following 2-stock portfolios (all else equal)?

Stock	W	X	Y	Z
W	+1			
X	–0.2	+1		
Y	+0.6	–0.1	+1	
Z	+0.8	–0.3	+0.5	+1

A) W and Y.
B) X and Y.
C) X and Z.

Question #118 of 120

Question ID: 1207619

Which of the following statements about the security market line (SML) and capital market line (CML) is *most accurate*?

A) The SML involves the concept of a risk-free asset, but the CML does not.
B) The SML uses beta, but the CML uses standard deviation as the risk measure.
C) Both the SML and CML can be used to explain a stock's expected return.

Question #119 of 120

Question ID: 1207617

Becky Scott and Sid Fiona have the same expectations about the risk and return of the market portfolio; however, Scott selects a portfolio with 30% T-bills and 70% invested in the market portfolio, while Fiona holds a leveraged portfolio, having borrowed to invest 130% of his portfolio equity value in the market portfolio. Regarding their preferences between risk and return and their indifference curves, it is *most likely* that:

A) Scott is risk averse but Fiona is not.
B) Fiona's indifference curves are flatter than Scott's.
C) Scott is willing to take on more risk to increase her expected portfolio return than Fiona is.

Question #120 of 120

Question ID: 1207620

A portfolio manager who is comparing portfolios based on their total risk should *most appropriately* use:

- **A)** Jenson’s alpha.
- **B)** the Sharpe ratio.
- **C)** the Treynor measure.